FIBONACCI STRATEGY

Just want to share a strategy I use for my trades which was taught to me by my mentor which you may opt to use for your algo trades called the Fibonacci strategy. You may also find it on tradingview.

The Fibonacci trading strategy is based on the Fibonacci sequence, a mathematical pattern where each number is the sum of the two preceding ones: 0, 1, 1, 2, 3, 5, 8, 13, 21, and so on. Traders use Fibonacci ratios and levels derived from this sequence to identify potential support and resistance levels in financial markets.

Fibonacci extensions, on the other hand, are used to determine potential profit targets when using Fibonacci retracements as entry points. Fibonacci ratios such as 161.8% and 261.8% are commonly used for this purpose.

ENTRY:
Use Fibonacci retracement levels to identify potential entry points, such as at the 38.2%, 50%, or 61.8% retracement levels.

EXIT:
Use Fibonacci extension levels to identify potential profit targets, such as at the 161.8% or 261.8% extension levels.